



Managed funds

Inexperienced or time-poor individuals often opt to invest in a managed fund, where numerous people pool their money and invest in a variety of markets. The fund is managed by an expert.

How it works

Managed funds offer a simple way for investors to access a variety of investment markets. As well as the advantage of having the fund managed by investment professionals, investing via a fund is a straightforward way of diversifying investments.

In many cases only a small initial amount of money is required to get started and further investments can either be made by lump sum or regular (monthly) contributions. Managed funds are traditionally set up as “unit trusts”, with each investor owning a number of units.

Unit trusts

When an individual invests in a managed fund, they are usually allocated a number of units based on the amount they invest and the current unit price. The unit price reflects the value of the fund's investments and rises, or falls, in line with those investments. Investors realise gains from managed funds by selling units.



INVESTOR

Buys into the fund. The number of units they receive depends on the unit price that day.

FUND MANAGER

Pools investors' money to invest in a variety of stocks, assets, and global regions.



Most funds issue new units to investors for a certain amount of time before closing. The investors pay regular management fees to the fund manager for their services.

